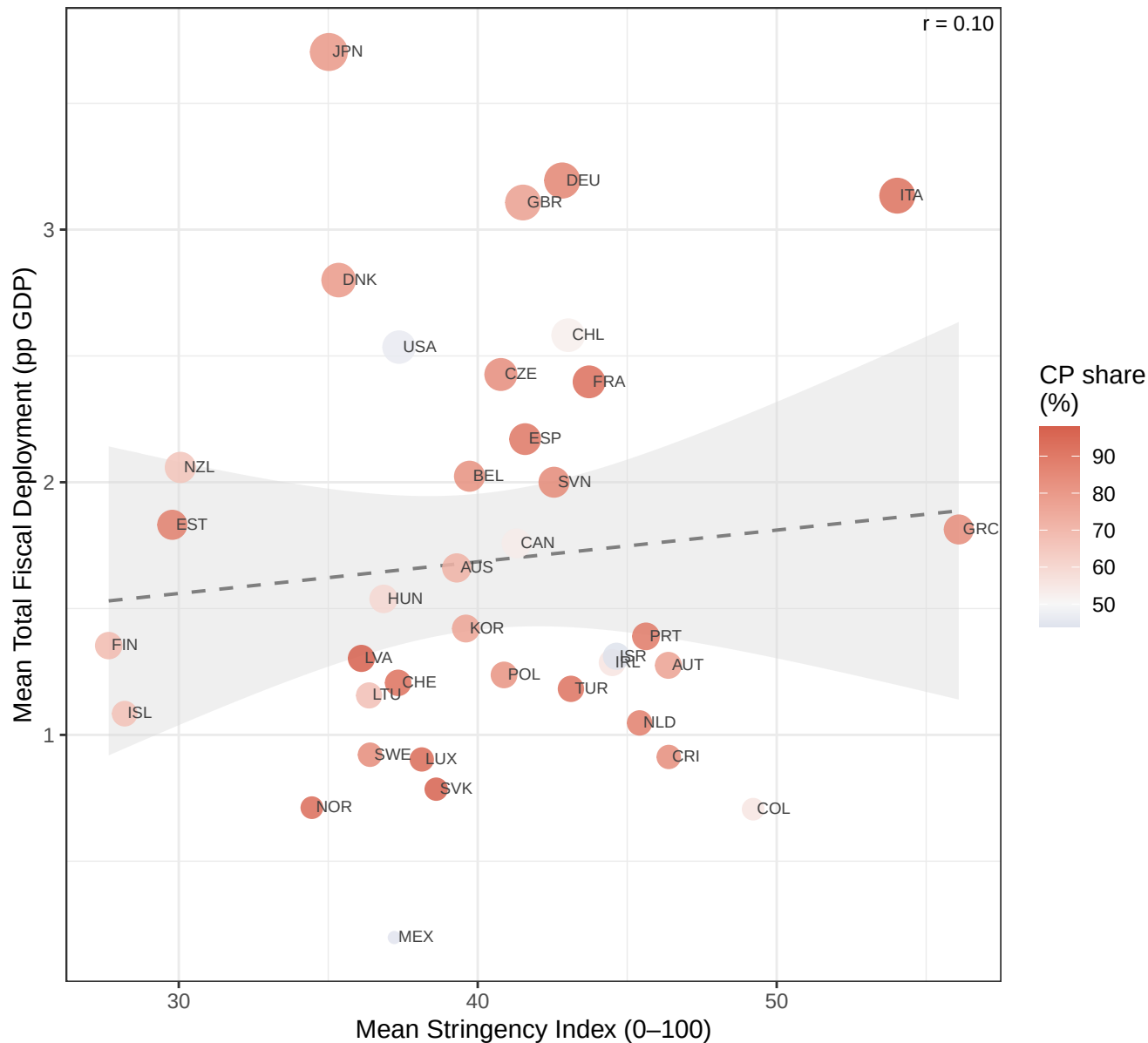


Figure 1: Identification — Fiscal Composition vs. Containment Stringency
 Cross-country means, Q1.2020–Q1.2022. Near-zero correlation validates $S \times F^{CP}$ identification.



Color: CP share of total fiscal package. OLS fit $\pm 95\%$ CI.

Figure 2: Cross-Country Variation in CP Share of Total Fiscal Package
Q1.2020–Q1.2022. Red dashed = OECD mean. Wide spread is the identifying variation.

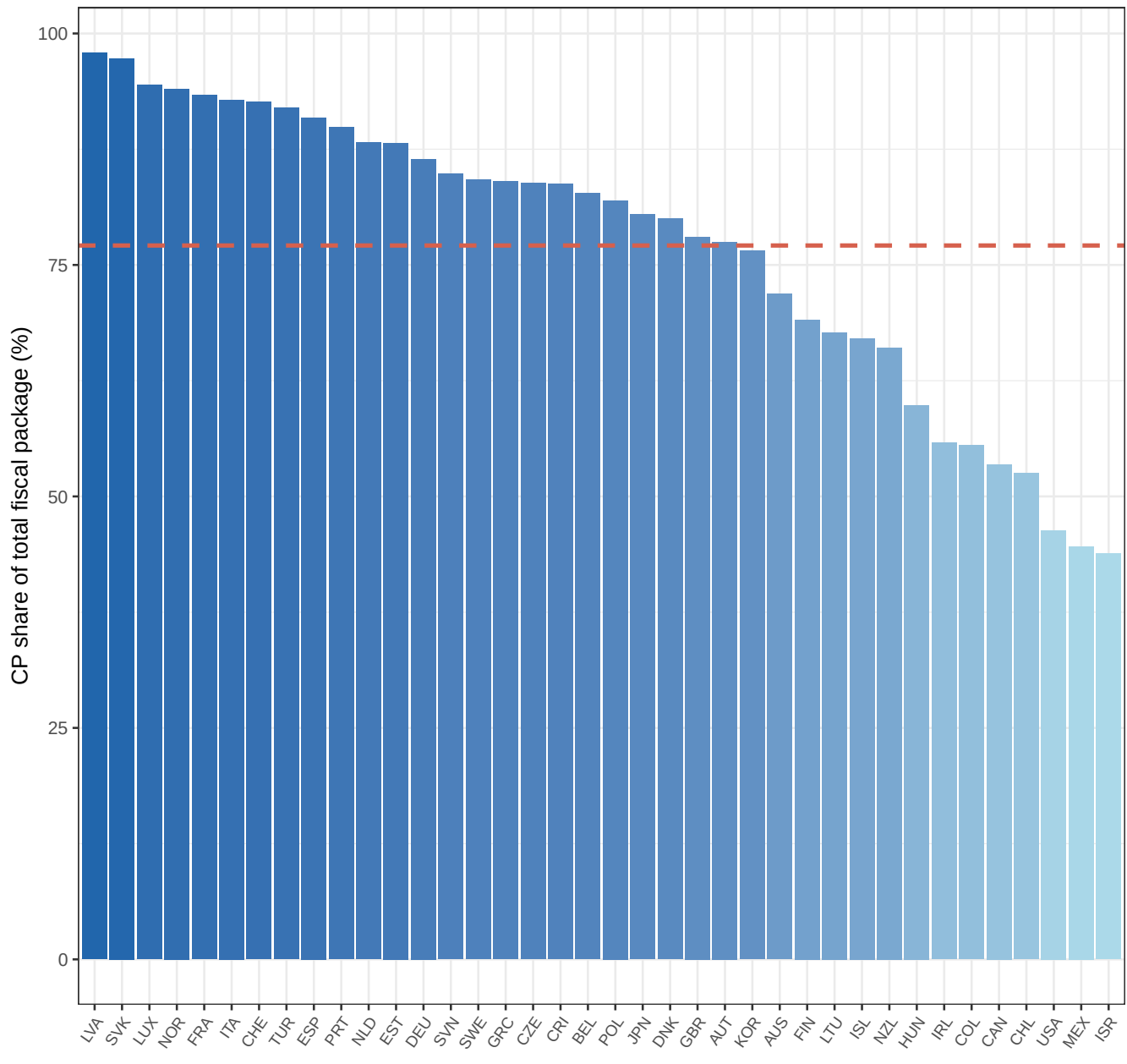
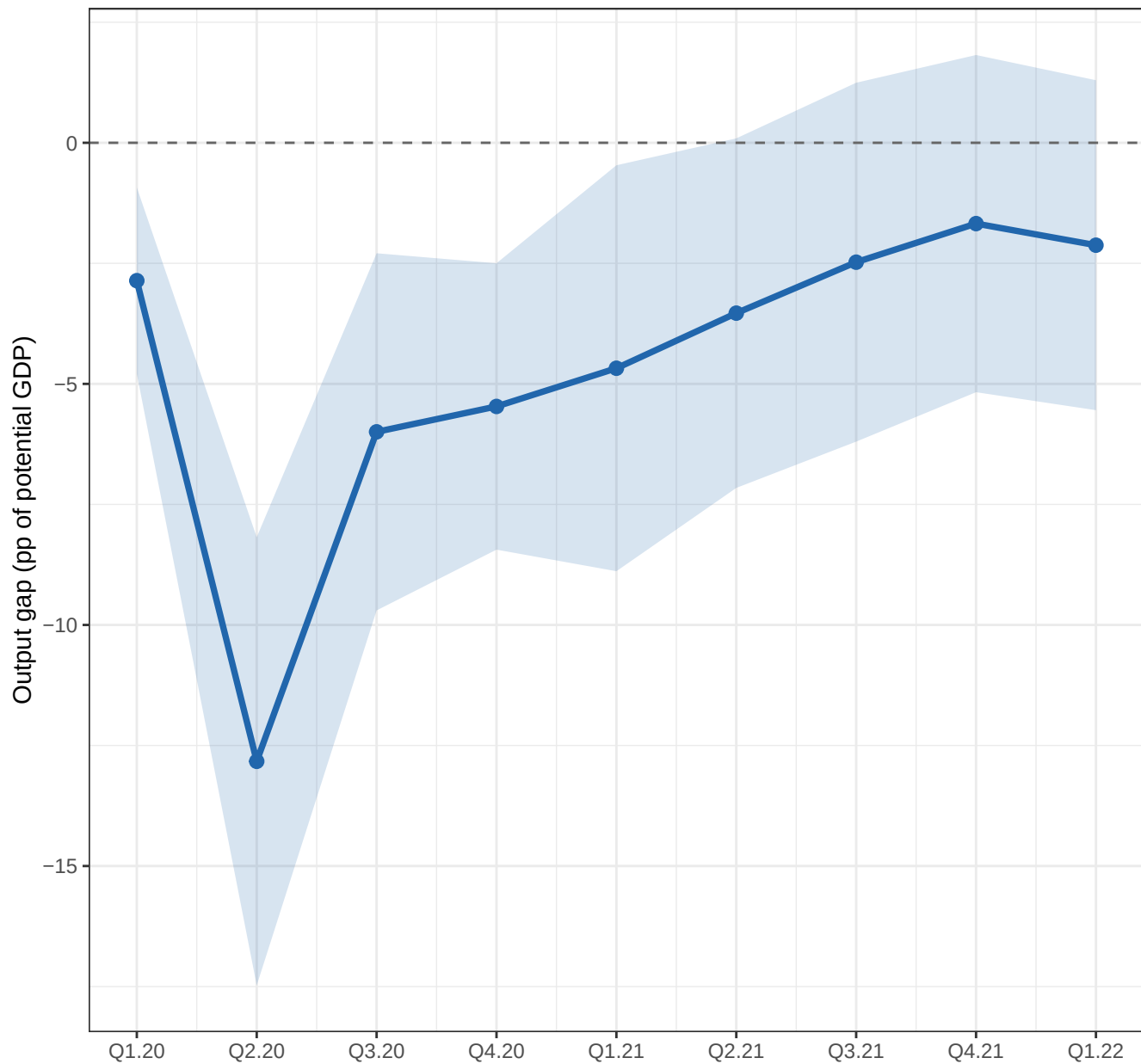
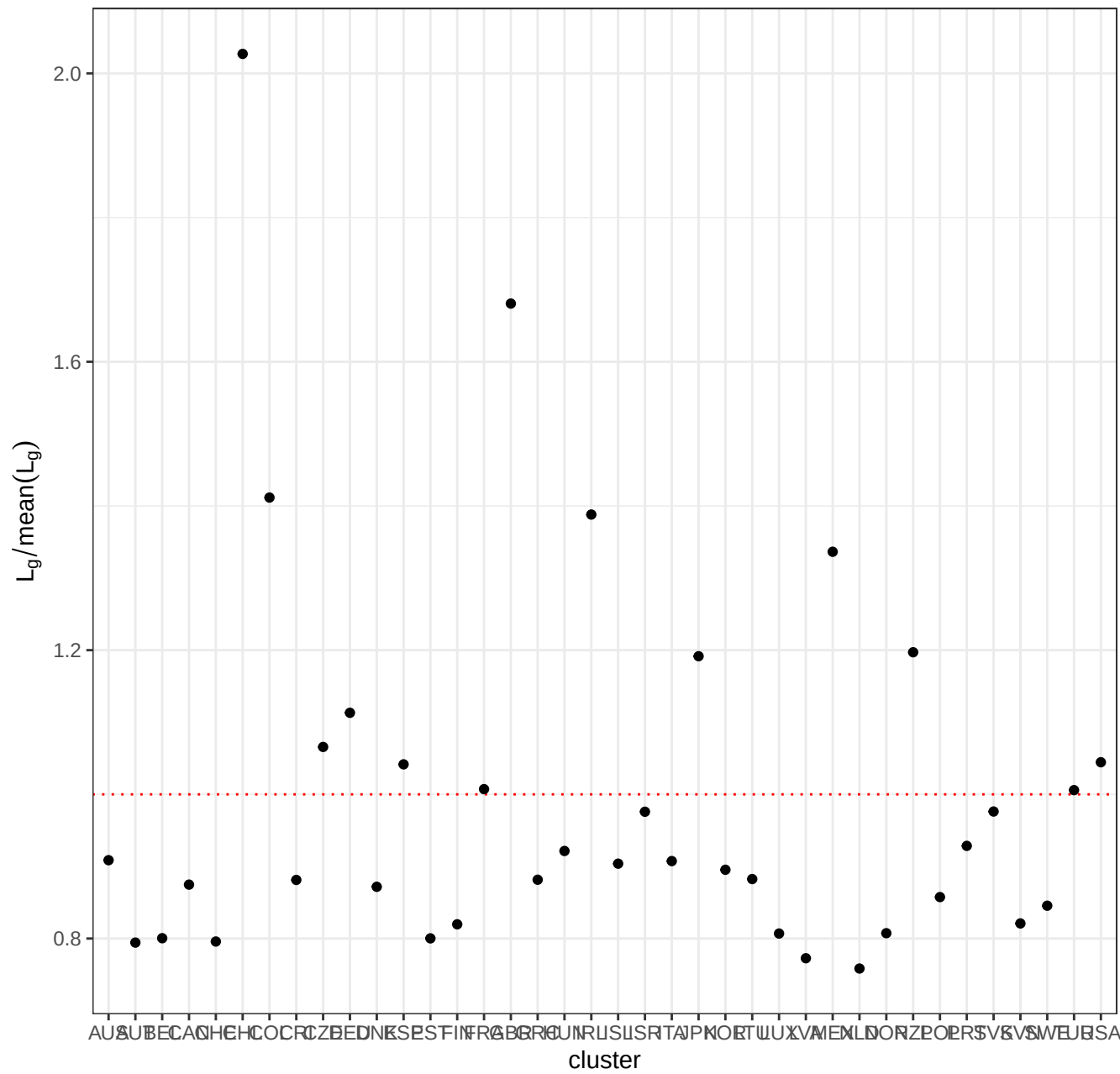


Figure 3: Output Gap — OECD Average (Q1.2020–Q1.2022)

Mean $\pm$ 1 SD across 38 countries. HP-filtered gap, pp of potential GDP.



Residual Leverage



λ_j^g

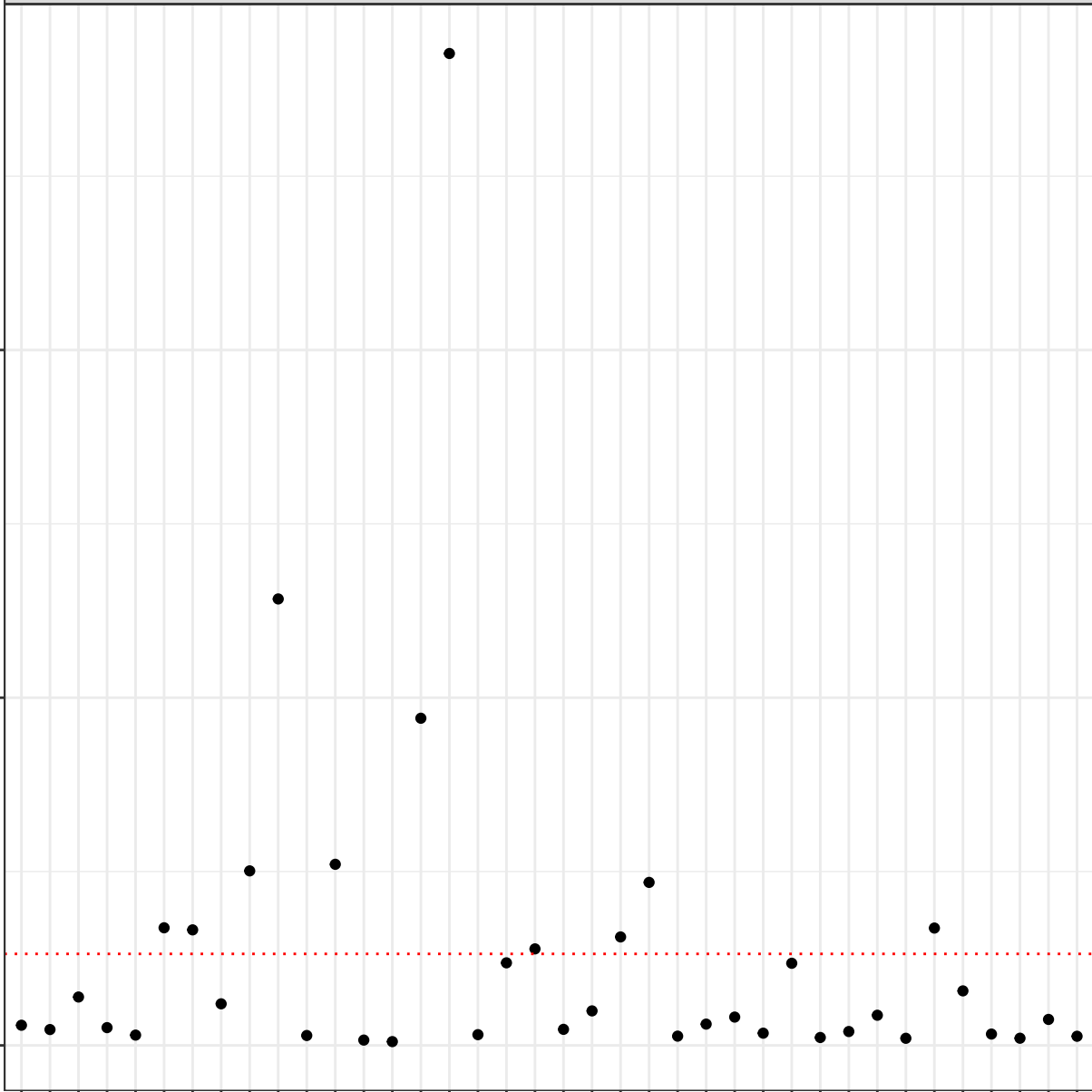
0.2

0.1

0.0

AUSUBECACHCHCOCRCZBEDNKSESTFINFRABRGRGIRISUSRTAIPMORTWUXVMENLNDONRZPOERSVSVSWEUBSA

cluster



F_CP_x_recession

$\lambda^g_{\beta_j}$

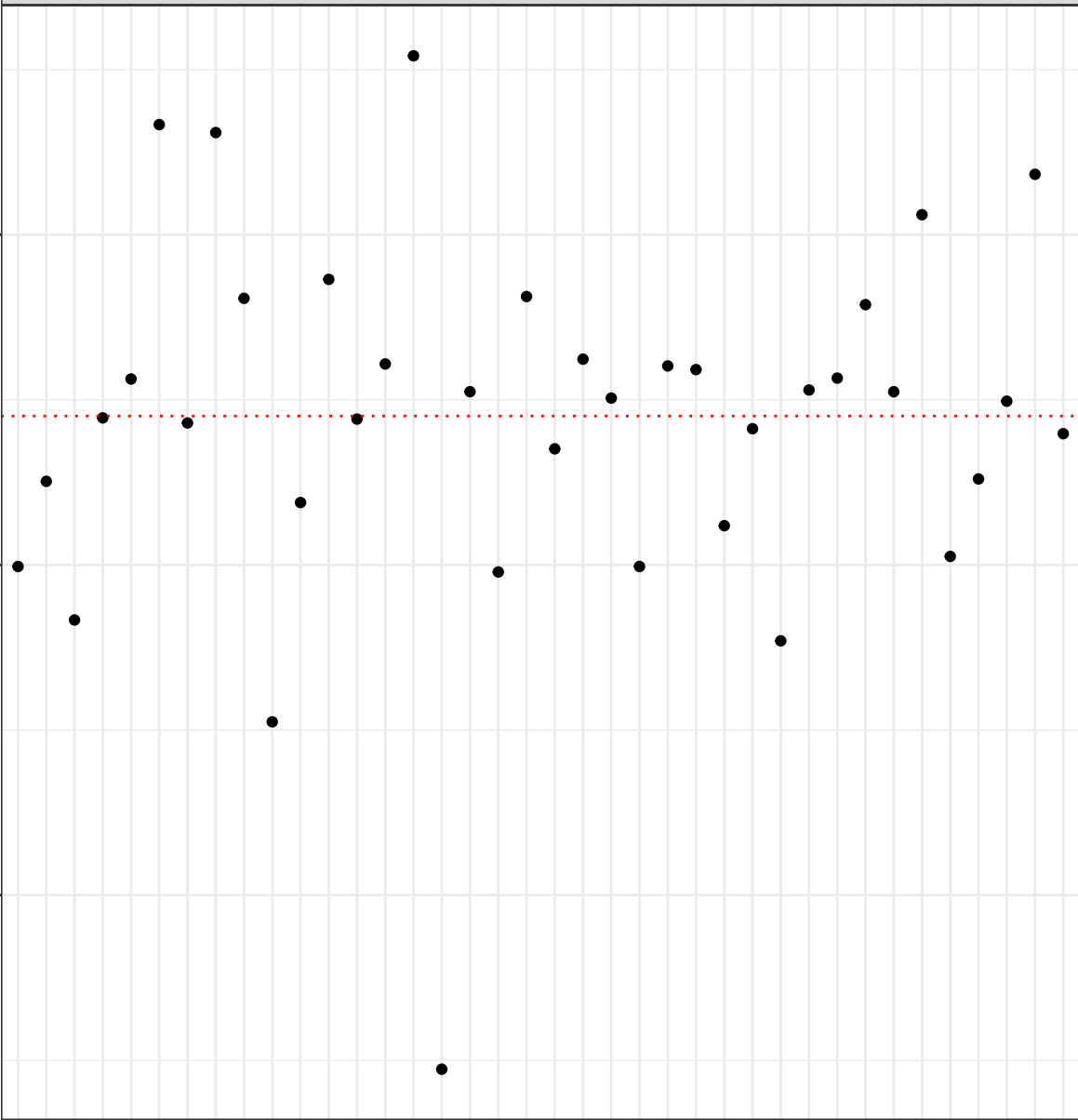
-0.011

-0.012

-0.013

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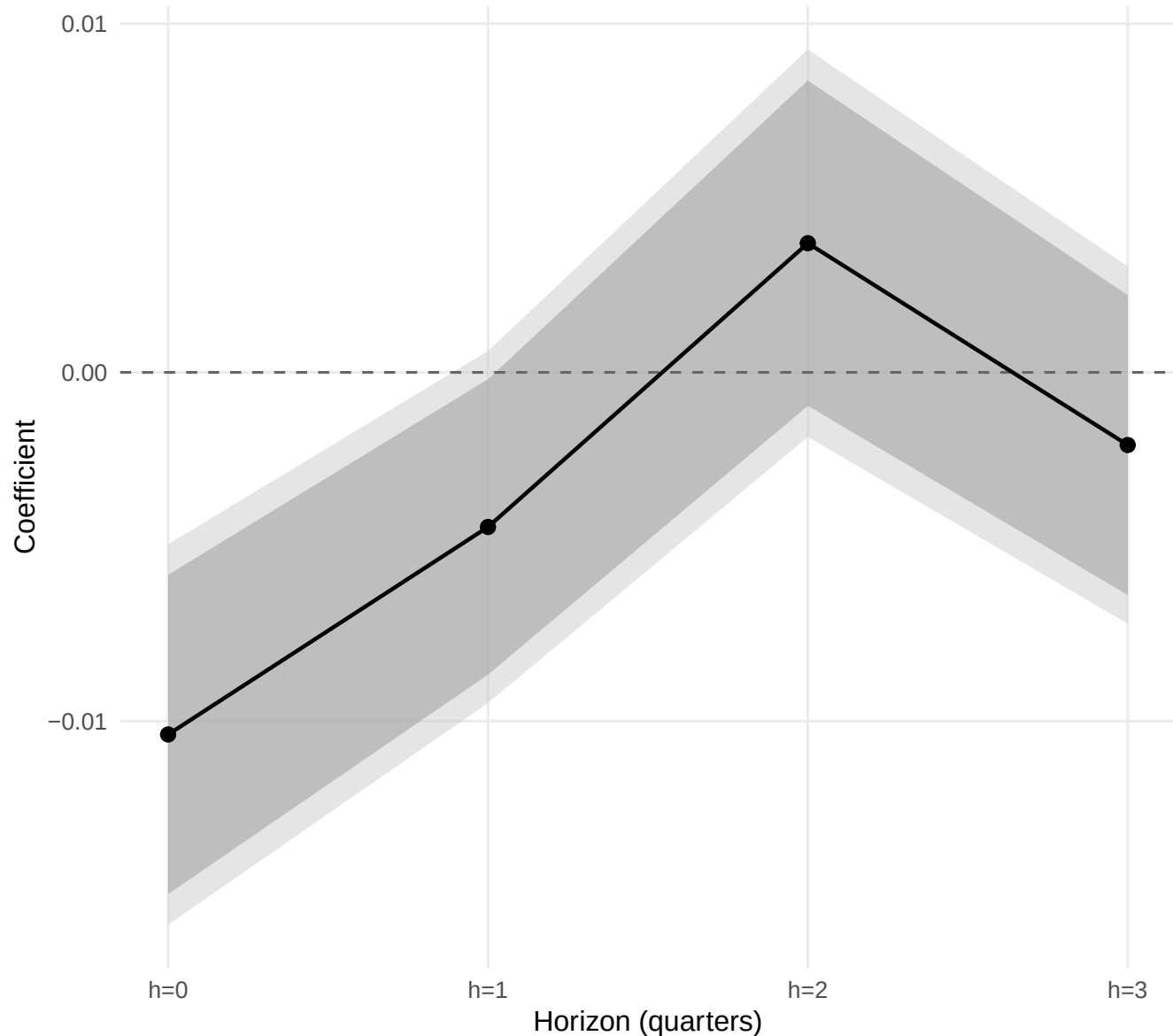
cluster



Persistence Channel: Local Projections (V4)

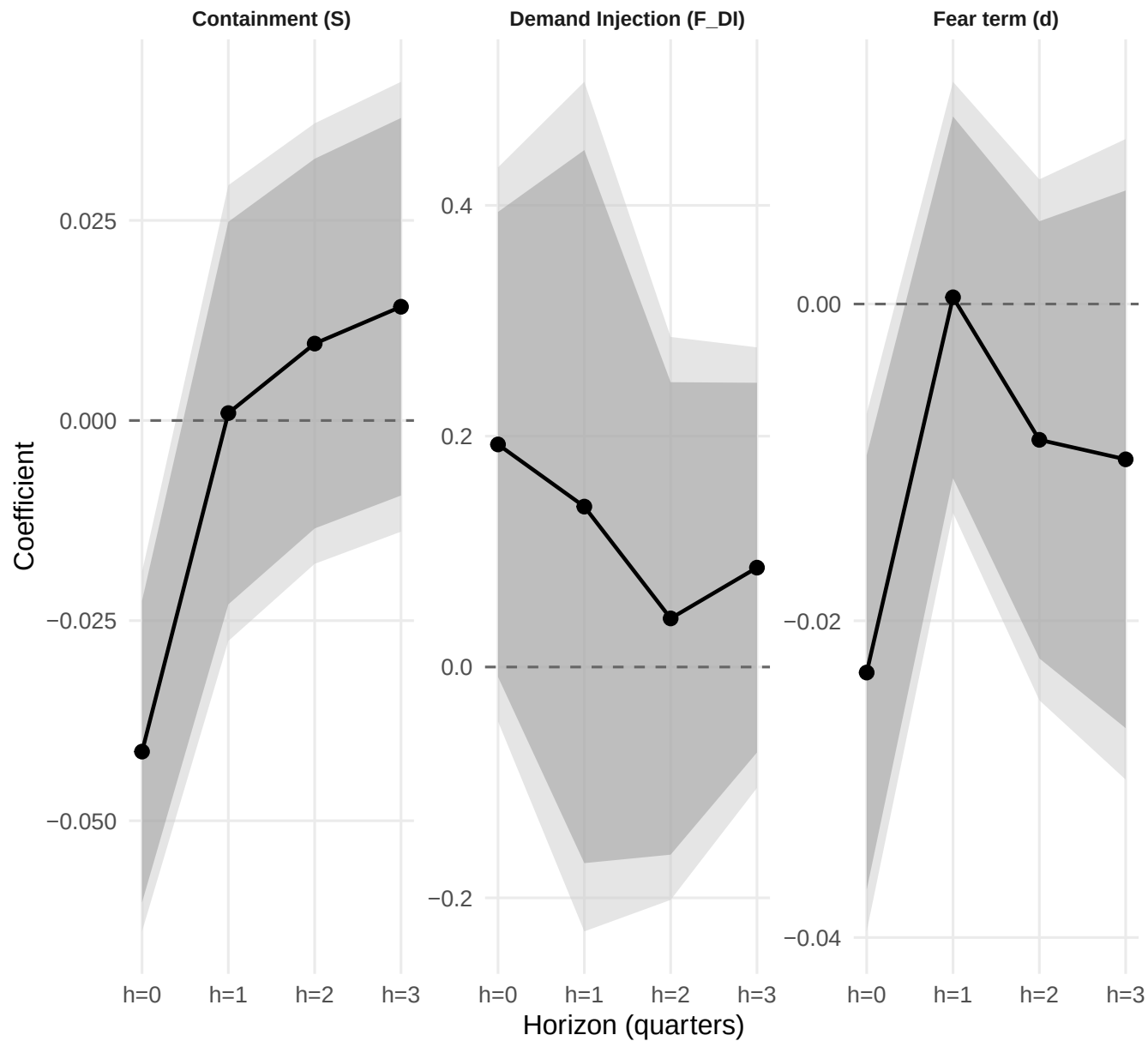
Asymmetric spline: CP active only in recession. TWFE, clustered SE, 90%/95% CI

CP persistence (η_p): $F_CP(t-2) \times 1\{y(t-1) < 0\}$



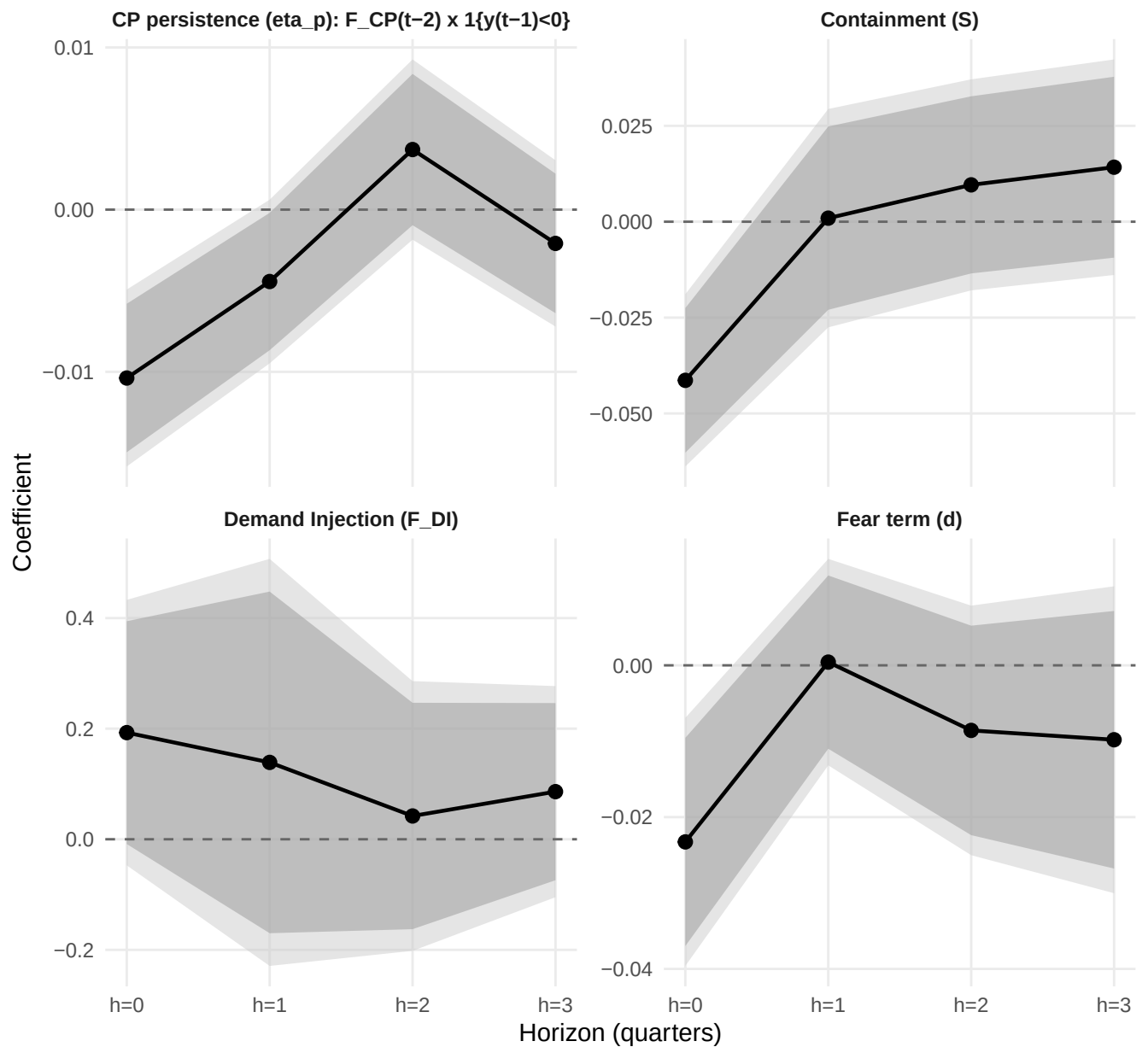
Direct Effects: Local Projections (V4)

TWFE, clustered SE, 90%/95% CI



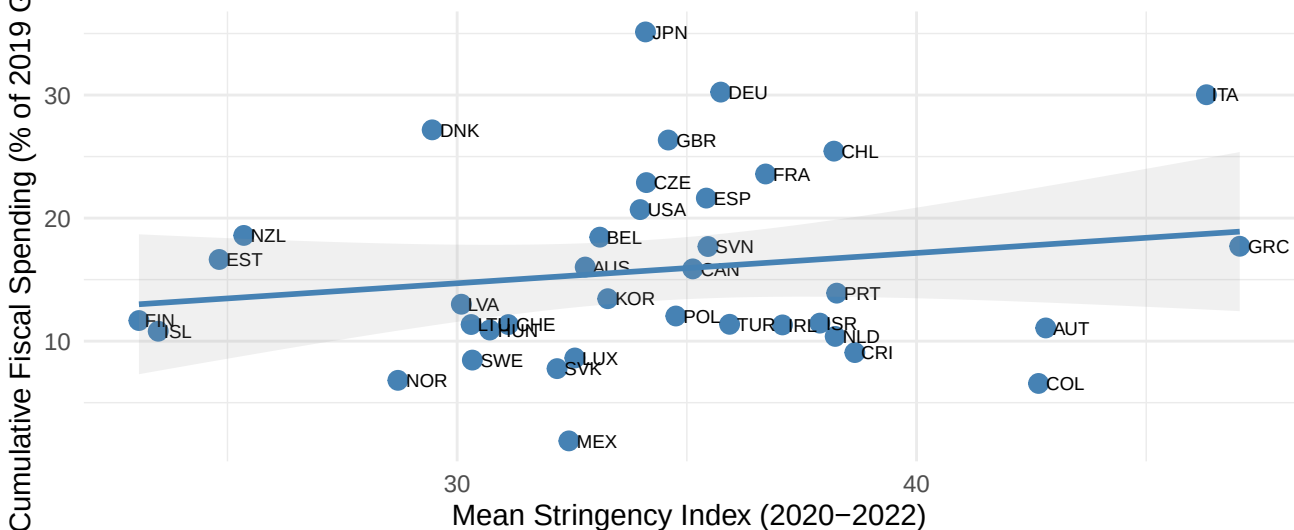
Local Projections: V4 Specification Validation

Jordà (2005). TWFE, clustered SE (Country), 90%/95% CI. Persistence channel and direct eff



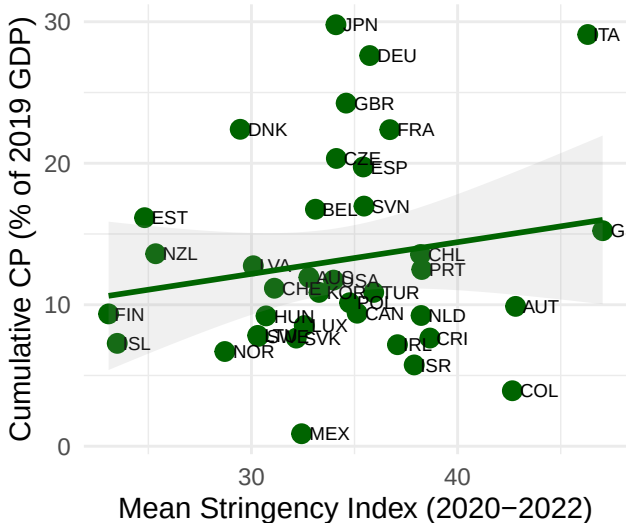
Did Stricter Lockdowns Lead to More Fiscal Spending?

Containment Intensity vs. Total Fiscal Deployment



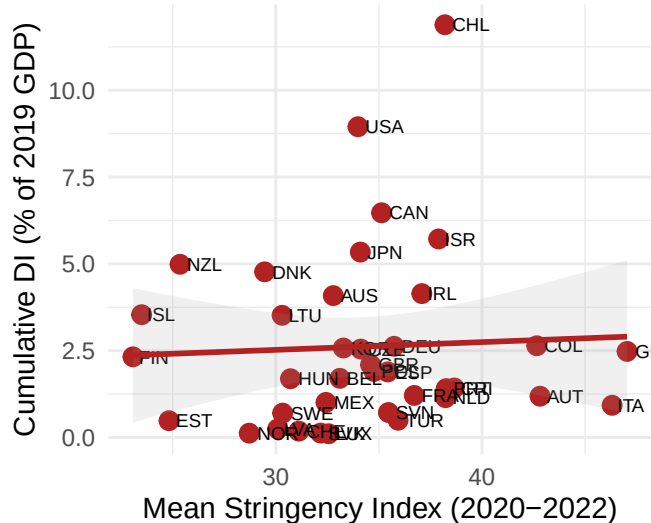
$r = 0.18$

Containment vs. Capacity Preservation



$r = 0.17$

Containment vs. Demand Injection

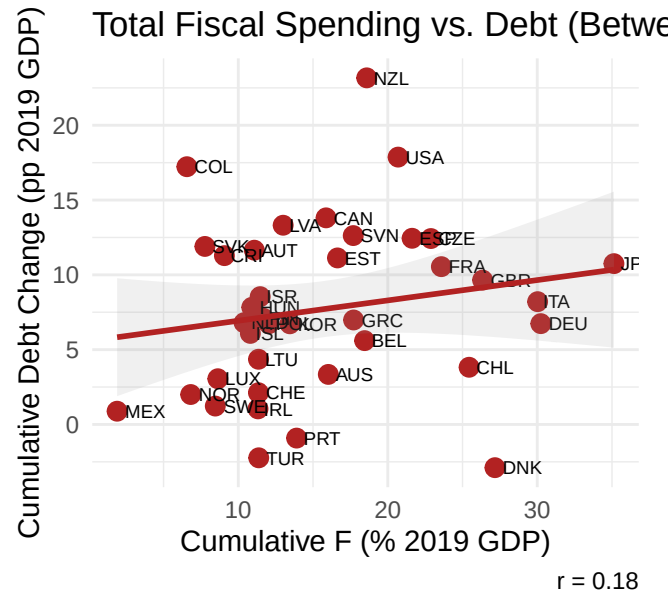
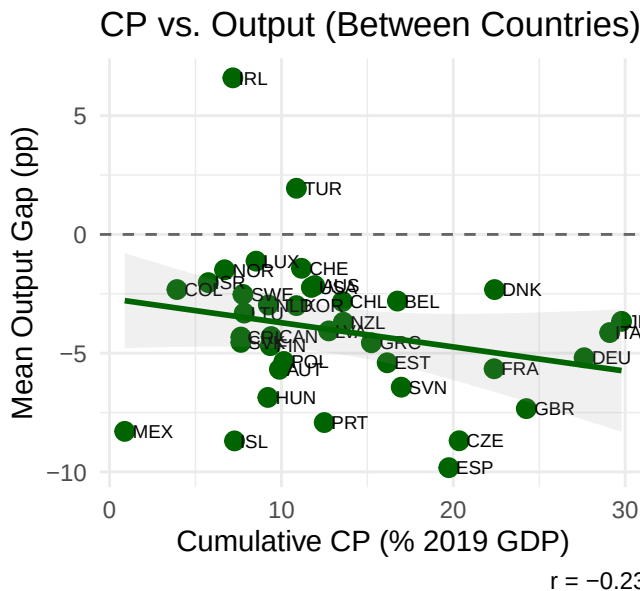
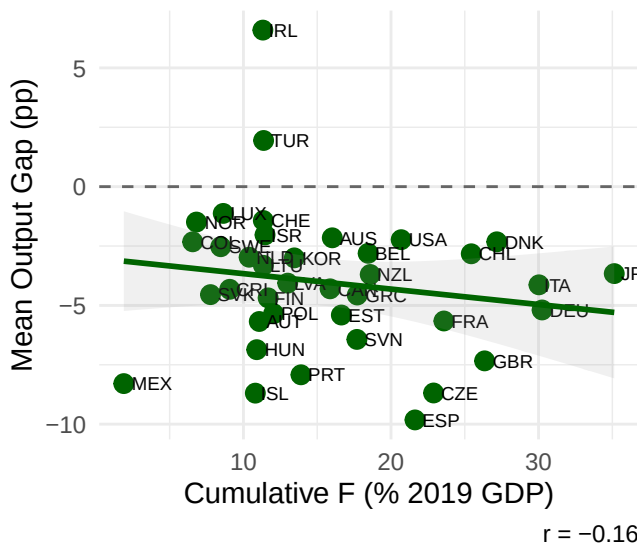
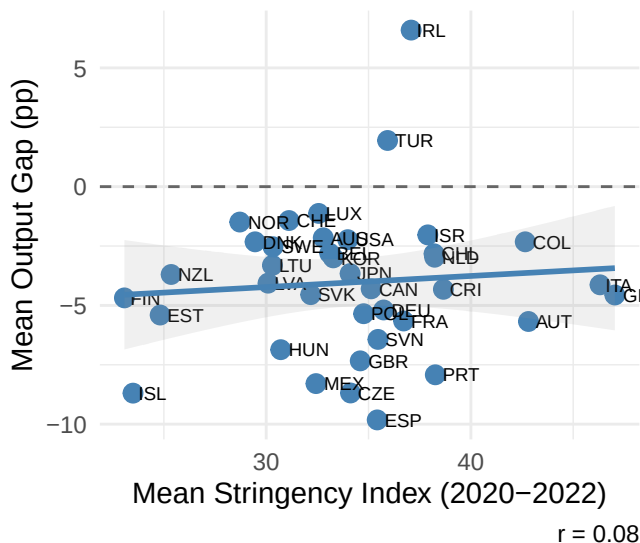


$r = 0.05$

The Simpson's Paradox of Pandemic Fiscal Policy

Between-country correlations mask within-country causal effects

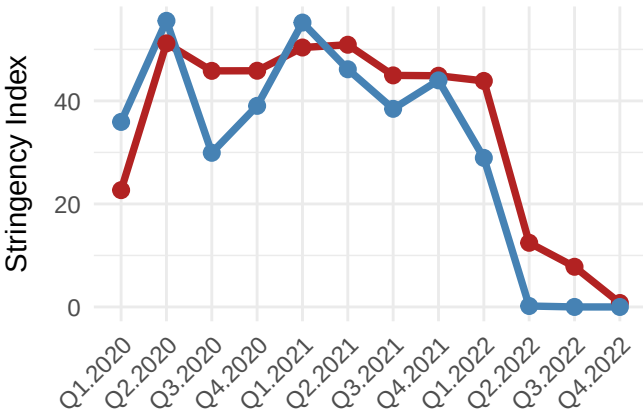
Containment vs. Output (Between Countries) Total Fiscal Spending vs. Output (Between Countries)



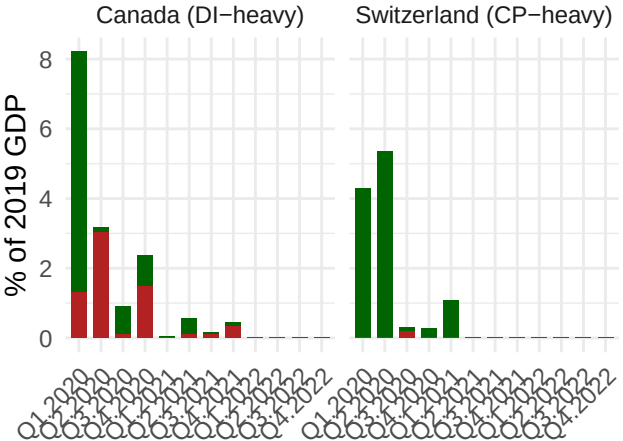
Canada vs. Switzerland: The Composition Effect

Similar containment and infection pressure, different fiscal strategies, different outcomes

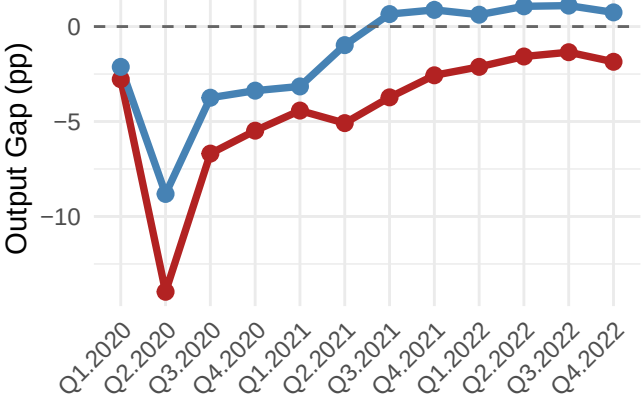
Containment: Similar Stringency



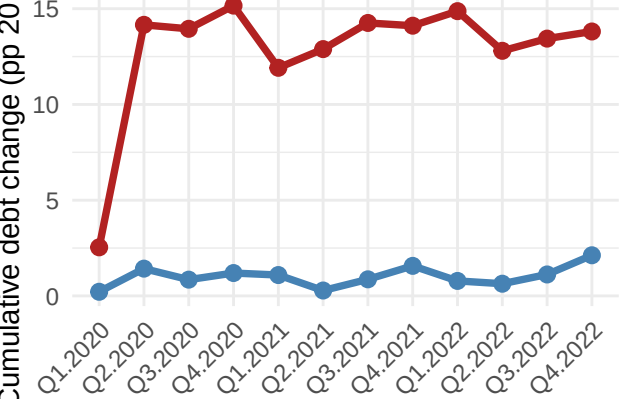
Fiscal Composition: Different Strategies



Output: Faster Recovery with CP

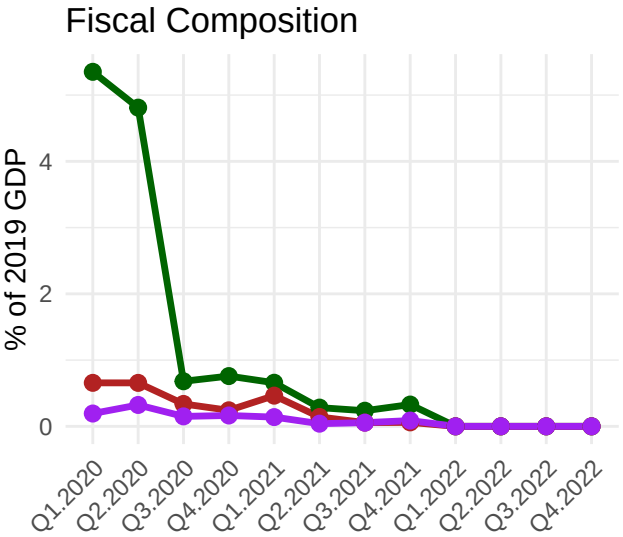
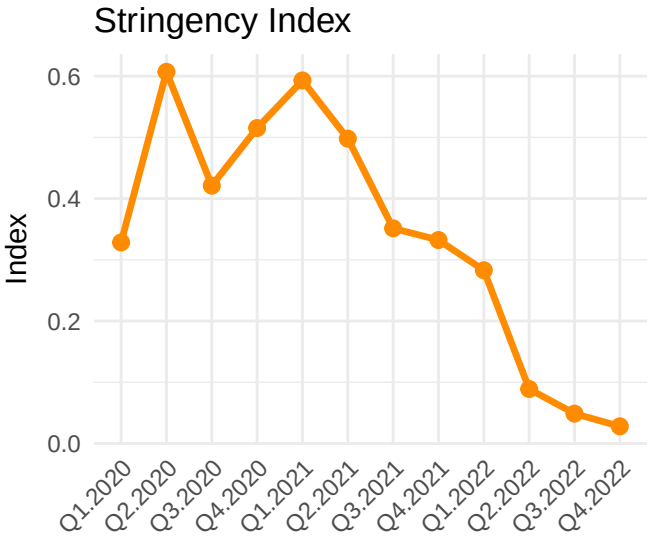
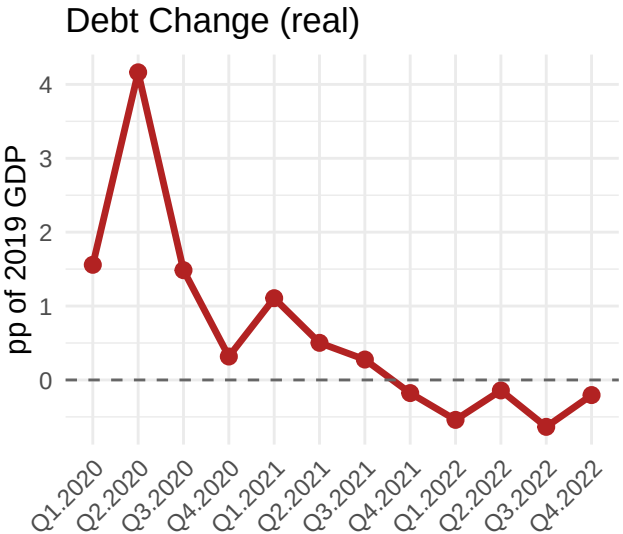
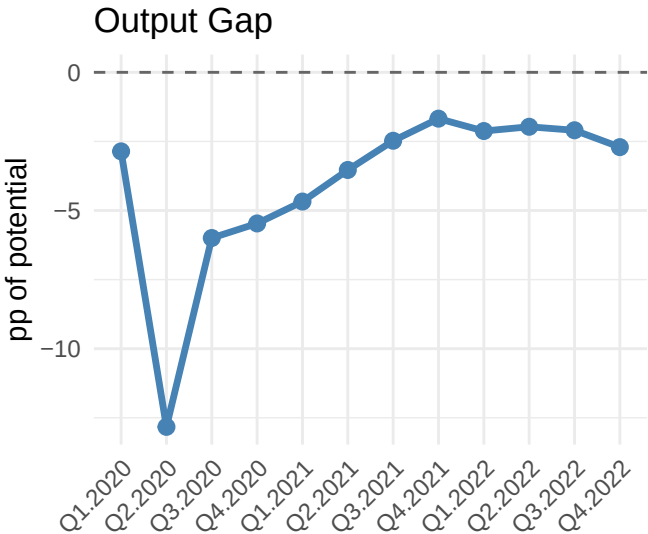


Debt: Lower Accumulation with CP



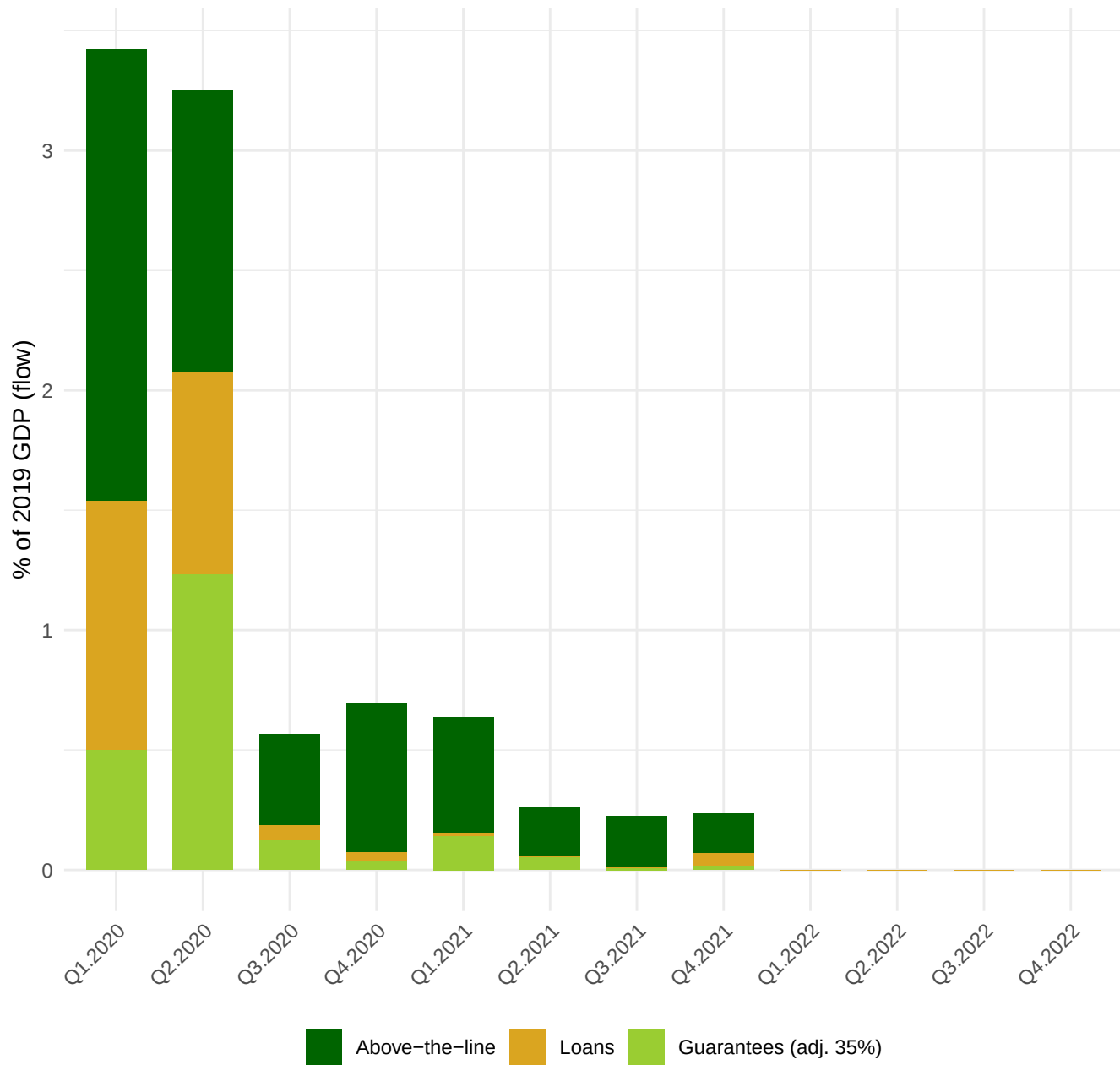
Cross-Country Averages (38 OECD Countries), Q1.2020 – Q4.2022

Output gap, debt dynamics, containment stringency, and fiscal composition



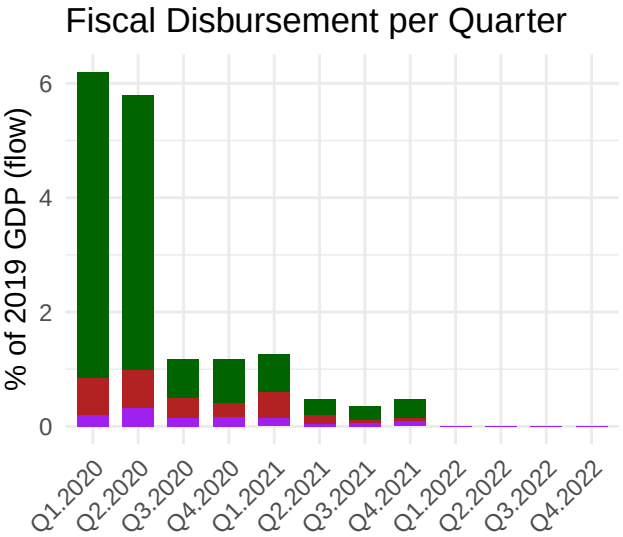
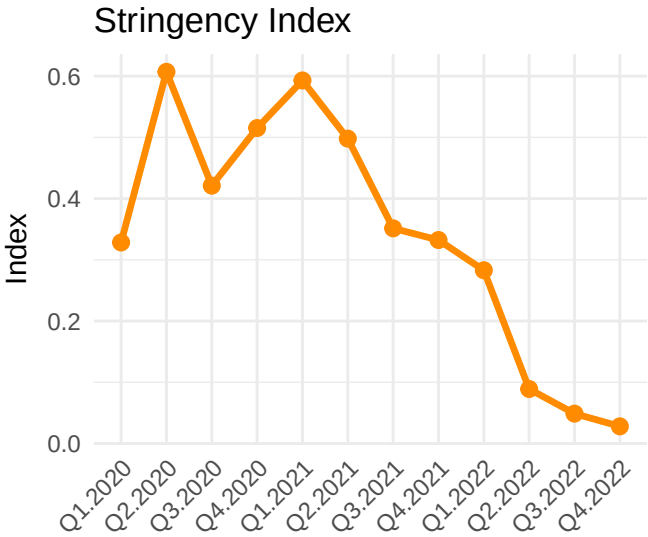
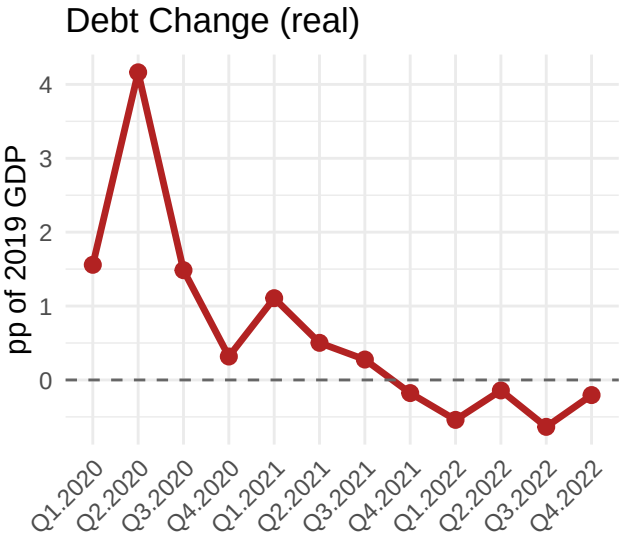
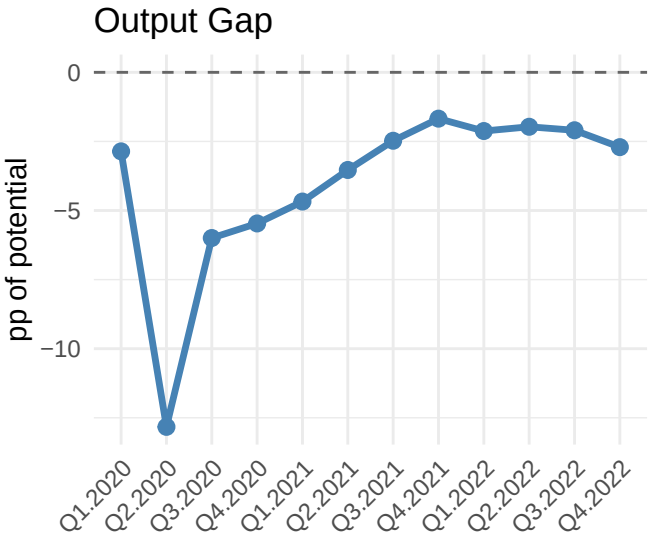
Capacity Preservation Demand Injection Health Expenditure

CP Decomposition per Quarter



Cross-Country Averages (38 OECD Countries), Q1.2020 – Q4.2022

Output gap, debt dynamics, containment stringency, and fiscal disbursement (flow per quarter)



Capacity Preservation Demand Injection Healthcare